

FAQs

1. What is NPS Bharat Fund of Funds? (NB-FoF)

NPS Bharat Fund of Funds (NB-FoF) is a dedicated Alternative Investment Fund (AIF) focused Fund of Funds established under the NPS framework to channel a portion of NPS assets (Pension Savings) into carefully selected Alternative Investment Funds in India.

It serves as an institutional investor in order to facilitate structured exposure of NPS assets to high-quality AIFs, while ensuring strong governance, risk management, and fiduciary discipline.

The NB-FoF aims to:

- Enhance long-term subscriber returns
- Provide portfolio diversification through alternative asset exposure
- Generate alpha through investment in well-managed AIFs
- Uphold the highest standards of governance, transparency, and fiduciary oversight.

Operationally:

- i. The FoF functions as a centralized platform offering a single-window application process for eligible AIFs seeking investment, thereby streamlining access and evaluation.
- ii. The structure incorporates a centralized vetting and due diligence framework, while preserving the statutory investment responsibilities of the individual Pension Funds under the applicable regulatory framework.

2. What is NPS Bharat FoF platform?

NPS Bharat FoF Platform is a centralized Fund-of-Funds mechanism that acts as a single-window interface for onboarding, evaluating, investing, and post investment monitoring of eligible AIFs on behalf of NPS Trust, ensuring standardized due diligence, coordinated investments, and ongoing oversight.

3. What categories of Alternative Investment Funds (AIFs) are eligible?

Only SEBI-registered Category I and Category II AIFs are eligible for investment, in accordance with the applicable Pension Fund Regulatory and Development Authority (PFRDA) investment guidelines.

4. **What is the sector mandate?**

The NB-FoF follows a sector-agnostic investment approach, with no predefined restrictions on sectors. Investments may be made across sectors, subject to applicable regulatory guidelines and internal evaluation criteria.

5. **What is NB- FoF total corpus?**

The corpus of the NB-FoF is based on PFRDA-permitted limits for alternative investments under NPS.

As per extant PFRDA investment guidelines:

- Up to 1% of AUM (Government Sector) may be allocated to alternative assets (including AIFs).
- Up to 5% of Scheme E & C AUM (Non-Government Sector) may be invested in alternative assets (including AIFs).

Note: The regulatory ceiling also includes investment in Gold/Silver ETFs & REITs/InvITs.

6. **What is the minimum size of corpus eligible for FoF?**

AIFs with a target corpus of ₹100 Crore or more are eligible to apply for consideration under the FoF platform.

7. **Which AIFs are eligible to Apply?**

AIFs may assess their eligibility prior to application by referring to the prescribed eligibility criteria. [Click here](#) to review the detailed eligibility requirements.

8. **How can AIFs Apply?**

Eligible AIFs can only apply through the “**Apply Now**” Button on the FoF Platform. Only those AIFs who pass initial-assessment score can submit their application.

9. **Can an AIF seeking contribution invest in foreign companies/entities?**

No, as per Section 25 of the PFRDA Act, 2013, AIFs cannot invest in securities of Companies or Funds incorporated and operated outside India.

10. What is the journey from application till final commitment?

Registration → Self-Assessment → Submission of Application → Screening Committee → Pension Funds Investment Committee → Documentation → Onboarding of AIFs.

11. Does the FoF guarantee allocation to shortlisted AIFs?

No, shortlisting does not guarantee capital commitment. It is a two-stage selection process. Shortlisting of AIFs by the screening committee is only the 1st stage. Final commitment depends on:

- Pension Fund Investment Committee's Approval
- Regulatory Ceilings prescribed by PFRDA
- Commercial Negotiation outcomes

12. Who conducts assessment/appraisal?

The centralized **AIF Cell** under **NPS Trust** conducts primary due diligence, including but not limited to:

- Investment strategy evaluation
- Track record verification
- Governance review
- Risk assessment
- Legal and regulatory compliance
- Operational diligence

In addition, individual Pension Funds may undertake further independent due diligence, as deemed appropriate.

13. What documents are typically required for AIF Cell Evaluation/Appraisal?

AIFs are required to submit, inter alia, the following documents for evaluation by the AIF Cell:

- SEBI registration certificate
- Private Placement Memorandum (PPM) and Investment Management (IM) Agreement
- Track Record (realized and unrealized performance)
- Details of Key Members such as Directors/Partners of the AIF.
- Organizational Structure
- Compliance certifications
- Valuation policy
- ESG Policy (if applicable)
- Risk management framework
- Litigation disclosure
- PMLA-related declarations

The above list is indicative and not exhaustive. Additional information/documents may be sought as part of the evaluation process.

14. Is General Partner (GP) commitment mandatory?

Yes, General Partner (GP) commitment is expected to ensure alignment of interests between the Investment Manager and investors. A meaningful “skin in the game” is considered an important factor in the evaluation process.

15. Is co-investment required?

Co-investments are not allowed as per the PFRDA investment guidelines.

16. What reporting is required post-investment?

Post-investment, AIFs shall provide periodic reporting, including, but not limited to:

- Quarterly portfolio updates
- Net Asset Value (NAV) statements
- Capital account statements
- Valuation reports
- ESG reporting (if applicable)
- Material event disclosures

17. Is Limited Partners Advisory Committee (LPAC) participation required?

Yes, the NB-FoF platform may seek participation in the LPAC to facilitate effective oversight and governance.

This may include:

- Representation on the LPAC
- Participation in key governance matters

18. What are key evaluation parameters?

AIFs are assessed on multiple parameters, including, but not limited to:

- Clarity and robustness of investment strategy
- Risk–return profile
- Stability and experience of the investment team
- Consistency of track record
- Portfolio construction and discipline
- Exit track record and realization capability
- Strength of governance framework

- Regulatory and compliance track record

19. What are the key expectations from General Partners (GPs)?

General Partners (GPs) are expected to adhere to high standards of professionalism and fiduciary responsibility, including:

- Adherence to strong institutional governance standards
- Regular and transparent communication with investors
- Timely and accurate reporting
- Strong alignment of interests with investors
- High standards of ethical conduct
- Focus on long-term value creation

20. What is meant by a First-Time Fund Manager?

A First-time Fund Manager is an Investment Manager that is raising and managing its first Alternative Investment Fund and therefore lacks an established track record in managing AIFs or similar pooled investment vehicles, though the team may have prior individual experience in investments.

Further, An Investment Manager that has prior experience in managing an AIF in one category (e.g., **debt**) but is launching a fund in another category (e.g., **equity**) will be considered a first-time fund manager for that specific strategy, due to the absence of a demonstrated track record in the new category, and vice versa.

21. What is meant by “Last Fund”?

Last Fund refers to the latest vintage fund raised by the Investment Manager within the same strategy (e.g., Debt or Equity) as the proposed fund. Funds raised in a different category shall not be considered as the “Last Fund” for evaluation purposes.

22. What is meant by “AIF Business”?

AIF Business refers to the end-to-end fund management activities undertaken by the Investment Manager in relation to Alternative Investment Funds, including fundraising, deal sourcing, investment execution, portfolio management, monitoring, and exits.

23. What are the Big five Auditors?

Big Five auditors are Deloitte, PwC, EY, KPMG and Grant Thornton.